(Please write your Enrollment Number)

Enrollment No. 01601172021

MID-TERM EXAMINATION
(Course Name: B.Tech IT/CSE/MAE/DMAM/CSE-AI) (Semester 6)
(March, 2024) OFF LINE mode

Subject Code: HMC 306	**Subject: Financial Management**
Time : 1 ½Hours	**Maximum Marks : 30**
Note: Q. 1 is compulsory.	

Q1		**(2.5*4)**	
	(a) An investor expects a perpetual sum of ₹500 annually from his investment. What is the present value of this perpetuity if the rate of interest is 10%?		453
	(b) Mr. B invested ₹1,00,000 at the beginning of one year at the rate of 10% compounded annually. What amount of money he will receive at the end of second year of his investment? Table values: When r-10% , n-2 PVIF- 0.826 , PVIFA- 1.736 FVIF- 1.210 , FVIFA- 2.100		210000
	(c) Suppose a firm has very high business risk, should the firm go for more debt financing. Support your opinion with reason.		
	(d) Highlight few features of preference shares.		
Q2	**(Attempt any Two Parts) UNIT-1**	**(5,5)**	
	(a) A company wants to replace an existing machinery after five years. The machinery is likely to cost ₹5,80,000 at the end of five years. However 80,000 is the scrap value of this machinery at the end of five years. Find out annual amount of money to be deposited at 10% rate of interest for next five years to get the desired sum of money for replacement of this machinery. Table values: When r-10% , n-5 PVIF- 0.621 , PVIFA- 3.791 FVIF- 1.611 , FVIFA- 6.105		81900
	(b) Wealth maximisation is superior criteria than profit maximisation. Do you agree, explain with example.		
	(c) Future value of a cash flow is different from its present value today. Justify with the help of a suitable example.		
Q3	**(Attempt any Two Parts) UNIT-2**	**(5,5)**	
	(a) Suppose you are a finance manager of a new start up, discuss the factors determining the optimum capital structure of this firm.		
	(b) Discuss significance of cost of capital for any firm.		
	(c) What do you mean by explicit cost and implicit cost? How they both differ from each other?		